

Pilot Operations Playbook

This playbook provides a practical guide for executing the SkillConnect JK pilot in one to two districts of Jammu & Kashmir. It identifies stakeholders, outlines key activities, sets timelines, and defines success measures. The objective is to validate the financing model, operational workflows and user experience before scaling.

1. Stakeholders & Roles

Stakeholder	Role & Responsibilities
Project Sponsor (Govt. + PSU Bank)	Provide strategic direction; ensure regulatory compliance; allocate guarantee funds.
Bank Partner	Underwrite and service loans; integrate APIs; manage disbursement and collections; report PSL data[1].
Platform Operator (Tech Team)	Develop and maintain platform; implement processes; provide support.
Training Providers	Deliver courses; ensure attendance and assessments are logged; maintain guarantee deposits; support learners.
Community Facilitators / CSCs	Conduct offline onboarding; assist with KYC and applications; track attendance in remote areas.
Learners	Apply for loans, attend training, complete courses, repay loans.
Employers & Placement Partners	Provide job opportunities; verify employment (optional in pilot).
Monitoring & Evaluation (M&E) Team	Collect data, monitor KPIs, assess pilot impact and recommend improvements.

2. Pilot District Selection

Using the **District Viability Index (DVI)** methodology from Phase 1, identify two districts: 1. **District A (High Volume & Infrastructure)** – Highest enrolment, good centre coverage; ensures operational ease. 2. **District B (High Need & Moderate Infrastructure)** – Fewer centres but high youth unemployment; tests inclusivity and remote support.

The final selection should consider security conditions, bank branch availability and willingness of TPs to participate. Include both rural and urban pockets to test offline facilitation.

3. Pilot Preparation (Months –3 to 0)

3.1 Governance & Agreements

- Finalise MoU between government, bank and platform operator covering roles, risk sharing, guarantee terms and data sharing.
- Secure CGFSSD coverage (75 %)[2] and any additional state first-loss reserve.
- Onboard 3–5 accredited TPs in selected sectors (IT/ITeS, electronics, tourism/hospitality); sign guarantee deposit agreements.
- Conduct stakeholder workshops to align expectations and refine processes.

3.2 Platform Configuration

- Set up district-specific settings: guarantee percentages, interest rate caps, milestone thresholds, and language defaults.
- Integrate bank API sandbox for testing; finalise data schema mapping.
- Configure payment gateway for UPI AutoPay[3]; conduct end-to-end test for mandates and EMI deductions.

3.3 Training & Capacity Building

- Train community facilitators at CSCs and training centres on platform usage, KYC procedures, and data privacy.
- Train TPs on attendance reporting, milestone evidence submission and guarantee obligations.
- Train bank staff on underwriting criteria, application review in new system and reporting requirements.

3.4 Outreach & Marketing

- Design multilingual marketing materials (flyers, radio jingles, social media) emphasising opportunities for youth and zero collateral requirement.
- Conduct roadshows at colleges, community centres and local radio to generate awareness. Use success stories from other similar schemes.
- Engage local influencers and NGOs to advocate participation and trust.

4. Pilot Execution (Months 0 to 6)

4.1 Registration & Onboarding

- Launch digital portal and offline enrolment desks simultaneously. Monitor KYC throughput and address technical issues quickly.
- Ensure equal access across genders and communities; track diversity metrics.

4.2 Loan Approval & Disbursement

- Start with small cohorts (~200 learners per district). Process loan applications daily; commit to approval turnaround of 48 hours.
- Monitor application rejection reasons; refine Borrower Score weighting to minimise unjust denials.
- Ensure first tranche disbursements occur before course start; track delays and root causes.

4.3 Training Delivery & Monitoring

- TPs deliver training; facilitators support remote learners. Collect attendance and progress data weekly.
- Use dashboards to monitor dropouts; implement interventions (counselling, bridging sessions) when red flags appear.
- Conduct random audits of attendance data; penalise fraudulent reporting.

4.4 Assessment & Certification

- Schedule assessments at convenient times and locations. Provide additional attempts if learners miss due to unrest or health issues.
- Issue digital certificates via DigiLocker; link certification to the loan record.

4.5 Repayment Initiation

- At moratorium end, send personalised repayment schedules and set up AutoPay mandates. Encourage early voluntary payments to build credit history.
- Track EMI adherence; send reminders 3 days before due date and on due date. Offer soft counselling for missed payments.

5. Monitoring & Evaluation

5.1 Key Metrics Collection

- **Operational:** number of loans disbursed, average approval time, tranche release adherence.
- **Outcome:** certification rate, placement rate, average salaries (where available).
- **Financial:** repayment rate, default rate, guarantee claims, average Borrower Score.
- **Demographic:** gender breakdown, rural vs. urban participation, caste categories.
- **User Feedback:** satisfaction surveys, NPS, qualitative feedback.

5.2 Data Review & Reporting

- Weekly operations meeting with platform operator, bank and TP representatives to review progress and resolve issues.

- Monthly report to government and sponsors summarising KPIs, stories, challenges and recommendations.
- Mid-pilot evaluation at Month 3 to adjust guarantee percentages, interest terms or sector focus.

5.3 Risk Management

- Maintain risk dashboard with real-time alerts: high dropout clusters, payment failures, security incidents.
- Activate contingency plans (e.g. deferral of EMIs) during political unrest, natural disasters or pandemics.
- Regularly review TPScore and adjust guarantee deposit requirements.

6. Post-Pilot (Months 6 to 9)

6.1 Evaluation

- Conduct an independent evaluation of the pilot's impact on employment, income and repayment behaviour.
- Compare results between District A and B to understand operational challenges in different contexts.
- Document feedback from learners, TPs and bank officers on process effectiveness and pain points.

6.2 Refinement

- Revise Borrower Score and TPScore algorithms based on pilot data.
- Adjust disbursement milestones, refund percentages and repayment schedules if needed.
- Enhance platform features (e.g. offline modules, AI guidance) based on user feedback.

6.3 Scale-up Plan

- Prepare a blueprint for UT-wide roll-out, including budget, resource requirements and timeline.
- Onboard additional banks via aggregator; negotiate risk-sharing terms and API integration.
- Expand sector offerings (e.g. handicrafts, healthcare) and include employer partnerships for salary-linked repayment options.

7. Success Criteria

- **Certification Rate** ≥ 70 % (improvement from baseline 62 %).
- **Loan NPA Ratio** ≤ 5 % (due to guarantee and automatic collections).
- **User Satisfaction (NPS)** ≥ 50 .
- **Bank Engagement:** bank commits to continue programme and onboard additional branches.

- **Government Endorsement:** UT officials agree to scale programme and create enabling policy (e.g. top-up guarantee fund).
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[1] Priority Sector Lending In India: A Guide

<https://www.go-yubi.com/securitisation/priority-sector-lending/>

[2] Skill Loan Scheme – Shree Lohana Samaj Trust Konkan Vibhag

<https://konkanlohanasamaj.com/skill-loan-scheme/>

[3] Digital convenience: New ways for India's MFI borrowers to repay loans - MicroSave Consulting (MSC)

<https://www.microsave.net/2025/06/26/digital-convenience-new-ways-for-indias-mfi-borrowers-to-repay-loans/>